Welcome to INTERNATIONAL FINANCIAL STATEMENT ANALYSIS (PG) (MBA)
Course Code: ACCT 510

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Week 2 – Understanding and Analyzing Income Statements- Profitability Analysis

Week 2 – Understanding and Analyzing Income Statements

- Course Learning Outcomes (CLOs) covered:
- **CLOs:** CLO1, CLO2
- CLO 1. Critically analyse the different elements of financial statements and report numbers to reflect the firm's economic reality;
- CLO 2. Perform financial statements analyses of companies and interpret trends and financial ratios

Rationale: Students learn structure and classification of revenues and expenses, applying basic profitability ratios to interpret corporate performance.

Topics to be covered today:

- Diagnostic Pre-Knowledge Test
- The Four Core Financial Statements
  - Income Statement → Measures profitability.
  - Balance Sheet → Shows financial position.
  - Cash Flow Statement → Tracks liquidity.
  - Statement of Changes in Equity → Explains movements in owners' capital.
- Purpose of the Income Statement
- Structure of an Income Statement
- Analyzing Income Statements
- Challenges in International Analysis
- Global Company Case studies
- Self-reflection

Diagnostic Pre-Knowledge Test

Total: 40 points

- Section A = 6
- Section B = 6
- Section C = 12
- Section D = 6
- Section E = 10

  Grand Total = 40 marks

Scoring & Interpretation

- **30–40 points**: Ready for the course — strong foundation.
- **20–29 points**: Acceptable — revise basics before Week 2.
- **Below 20 points**: Needs remedial support (refresher workshops/reading pack).

The Four Core Financial Statements

1. Income Statement → Measures profitability.
2. Balance Sheet → Shows financial position.
3. Cash Flow Statement → Tracks liquidity.
4. Statement of Changes in Equity → Explains movements in owners' capital.

1. Income Statement (Profit & Loss Statement)

Purpose: Measures **profitability** over a period (month, quarter, year).
Focus Question: *Did the company earn a profit?*
Key Components
1.Revenue / Sales → inflows from goods/services.
2.Cost of Goods Sold (COGS) → direct costs of production.
3.Gross Profit = Revenue – COGS.
4.Operating Expenses →

1. Selling, General & Administrative (SG&A)
2. Research & Development (R&D)
3. Depreciation/Amortization

5.Operating Income (EBIT) = Gross Profit – Operating Expenses.
6.Other Income/Expenses → e.g., interest, investment gains/losses.
7.Income Tax Expense.
8.Net Income (Profit/Loss) = Final measure of profitability.
9.Earnings per Share (EPS) = Net Income ÷ Shares Outstanding.
Interpretation: Investors look at profitability trends, margins (gross, operating, net), and EPS to evaluate performance.

2. Balance Sheet (Statement of Financial Position)

Purpose: Shows **financial position** at a specific date.
Focus Question: *What does the company own, owe, and what's left for owners?*
Key Components
Assets (What the firm owns):
•*Current Assets:* Cash, Accounts Receivable, Inventory.
•*Non-Current Assets:* Property, Plant & Equipment (PPE), Intangibles (patents, goodwill), Long-term Investments.
Liabilities (What the firm owes):
•*Current Liabilities:* Accounts Payable, Short-term Debt, Accrued Expenses.
•*Non-Current Liabilities:* Long-term Debt, Lease Obligations, Pension Liabilities.
Equity (Owners' claim):
•Share Capital (Common/Preferred Stock).
•Retained Earnings.
•Reserves/Other Comprehensive Income.
Equation:
Assets = Liabilities + Equity
Interpretation: Analysts use liquidity, solvency, and leverage ratios (Current Ratio, Debt-to-Equity) to evaluate strength.

3. Cash Flow Statement

Purpose: Tracks **liquidity** — actual cash inflows and outflows.
Focus Question: *Where did cash come from and how was it used?*
Key Components

1.Operating Activities (OCF):

1. Cash received from customers.
2. Cash paid to suppliers, employees, taxes.
3. Adjusted for non-cash items (depreciation).

   → *Shows cash generated by core business operations.*

2.Investing Activities (ICF):

1. Purchases/sales of PPE.
2. Acquisitions of businesses.
3. Purchases/sales of investments.

   → *Shows capital expenditure and investment activity.*

3.Financing Activities (FCF):

1. Issuing or repurchasing shares.
2. Borrowing/repaying loans.
3. Paying dividends.

   → *Shows how the firm funds its operations.*

4.Net Change in Cash = OCF + ICF + FCF.
Interpretation: Free Cash Flow (OCF – CapEx) is key for evaluating **financial flexibility**.

4. Statement of Changes in Equity (Equity Statement)

Purpose: Explains **movements in owners' capital (equity)** over the period.
Focus Question: *How did shareholders' equity change during the year?*
Key Components
•**Opening Equity Balance**.
•**+ Net Income (from Income Statement).**
•**– Dividends paid**.
•**+/- Other Comprehensive Income (OCI):** e.g., FX translation adjustments, revaluation gains/losses.
•**+ New Share Issues / Share Buybacks.**
•**Closing Equity Balance.**
Interpretation: Shows how profits are retained or distributed, and how ownership structure changes (via share issuance/buybacks).

Introduction

The income statement, also known as the statement of profit or loss, is a fundamental financial report that measures a firm's profitability over a specific accounting period. It reflects how revenues are generated and expenses are incurred, ultimately leading to net income or loss. For international analysts, understanding income statements is critical because companies across the globe prepare them under different reporting frameworks — mainly **International Financial Reporting Standards (IFRS)** and **United States Generally Accepted Accounting Principles (US GAAP)**. While both frameworks aim to provide useful information to stakeholders, differences in recognition, measurement, and disclosure can significantly affect interpretation and comparability.

Purpose of the Income Statement

The income statement serves multiple stakeholders:

- **Investors** use it to assess profitability, growth potential, and earnings quality.
- **Creditors** evaluate a company's ability to generate earnings for debt repayment.
- **Managers** use it to measure performance against budgets and strategic goals.
- **Regulators** ensure compliance and transparency for market stability.

It provides insights into **operating performance** (revenues and operating expenses), **financial performance** (interest, taxes), and **comprehensive performance** (net and other comprehensive income).

Structure of an Income Statement

Typically, both IFRS and US GAAP-based income statements include:

1. **Revenues/Sales** – inflows from core operations.
2. **Cost of Goods Sold (COGS)** – direct costs of production.
3. **Gross Profit** – revenues minus COGS.
4. **Operating Expenses** – selling, general, administrative, R&D.
5. **Operating Income (EBIT)** – profit from core operations.
6. **Other Income/Expenses** – non-operating activities.
7. **Net Income** – final profitability after interest and taxes.
8. **Earnings Per Share (EPS)** – profitability attributable to shareholders.

Analyzing Income Statements

1. Profitability Analysis

- **Gross Margin:** Indicates efficiency in production.
- **Operating Margin:** Reflects operational efficiency.
- **Net Profit Margin:** Overall profitability after all costs.

This week

2. Trend Analysis

Comparing income statement items over multiple periods helps identify growth patterns and potential risks.

Next week

3. Common-Size Analysis

Expressing each line item as a percentage of sales allows analysts to compare across firms, regardless of size.

Challenges in International Analysis

- Comparability: Differences in R&D treatment, lease accounting, and impairment testing distort ratios across countries.
- Earnings Quality: Managers may engage in earnings management (e.g., revenue timing, expense shifting).
- Currency & Inflation: Exchange rate movements complicate global comparisons.

1. Comparability Issues

Even when firms operate in the same industry, **different accounting standards** make their financial statements hard to compare:

•**R&D Treatment:**

- *IFRS*: Research expensed, but development costs can be **capitalized** if future benefits are probable.
- *US GAAP*: All R&D **expensed immediately**, reducing current profit.
- *Challenge:* A European firm may show higher profits than a US peer, not because of superior performance, but due to accounting rules.

•**Lease Accounting:**

- *IFRS 16*: Most leases capitalized (right-of-use asset + liability); lease costs split into depreciation + interest. → Raises **Operating Income/EBITDA**.
- *US GAAP ASC 842*: Operating leases still permitted; lease expense remains in OPEX. → **Lower EBIT**.
- *Challenge:* Two firms with identical lease portfolios show different operating margins.

•**Impairment Testing:**

- *IFRS (IAS 36)*: One-step test, impairment reversals allowed (except goodwill).
- *US GAAP*: Stricter two-step test, no reversals allowed.
- *Challenge:* IFRS companies may report smoother earnings, GAAP companies more volatility.

Effect on Analysis: Ratios like ROA, ROE, EBITDA margin can be **distorted** across standards. Analysts often need to adjust reported figures to a common basis.

2. Earnings Quality

Even within the same standard, **management choice** affects reported numbers:

•**Revenue Timing:** Early recognition (e.g., channel stuffing, aggressive contract assumptions) inflates short-term sales.

•**Expense Shifting:** Delaying or capitalizing expenses to boost profit margins.

•**Cookie-Jar Reserves:** Building excessive provisions in good years to release in bad years.

•**Non-Recurring Items:** Labeling recurring costs as “one-off” to artificially improve core earnings.

Effect on Analysis: Reduces **earnings quality**, making it harder to judge if profits truly reflect sustainable performance. Analysts must adjust for unusual items and scrutinize disclosures.

3. Currency & Inflation Effects

•**Currency Translation:**

- Multinationals consolidate statements in their reporting currency.
- Exchange rate swings can cause revenue and asset values to rise/fall independent of real business activity.
- Example: Toyota reports in JPY, Ford in USD. A weaker yen makes Toyota's revenue look smaller when compared in dollars.

•**Inflation Accounting:**

- In high-inflation countries, historical cost accounting distorts assets and profits.
- IFRS allows *inflation-adjusted reporting* (IAS 29), while US GAAP does not have a full equivalent.
- This makes cross-country ratios misleading (e.g., depreciation, COGS, margins).

Effect on Analysis: Currency and inflation blur the link between reported results and **economic reality**, complicating comparisons across borders.

Global Company Nestlé Group (IFRS, 2022 CHF billions)

Item	Amount
Sales	94.4
Cost of Goods Sold	(44.5)
Gross Profit	49.9
Marketing & Distribution	(18.2)
Admin Expenses	(8.0)
R&D	(1.8)
Other (incl. impairments, associates)	(2.5)
Trading Operating Profit	19.4
Finance Costs (net)	(1.2)
Income Tax Expense	(4.2)
Profit for the Year	14.0
EPS (CHF)	5.06

Apple Inc. (US GAAP, 2022 extract – USD, billions)

Item	Amount
Net Sales	394.3
Cost of Sales	(223.5)
Gross Margin	170.8
R&D Expenses	(26.3)
SG&A	(25.1)
Operating Income	119.5
Other Income/Expense (net)	(0.1)
Income Tax Expense	(19.3)
Net Income	100.2
EPS (USD)	6.11

Study 1 – Nestlé (IFRS) vs. Apple (US GAAP)

Theme: Global consumer goods vs. technology under different reporting frameworks.

Background

•Nestlé (Switzerland) reports under **IFRS**.

•Apple (USA) reports under **US GAAP**.

Both are global leaders in their sectors but apply different reporting standards.

Part A – Ratio Calculations

1. **Gross Margin %** = Gross Profit ÷ Sales
2. **Operating Margin %** = Operating Profit ÷ Sales
3. **Net Profit Margin %** = Net Income ÷ Sales

Tasks:

•Calculate the three ratios for **Nestlé** and **Apple**.

•Show your workings clearly.

Class activity - Tasks

Part A – Ratio Calculations (with workings)

Nestlé (IFRS, CHF billions)

•**Gross Margin %** = Gross Profit ÷ Sales

= 49.9 ÷ 94.4 = **0.5286 → 52.9%**

•**Operating Margin %** = Operating Profit ÷ Sales

(Using Trading Operating Profit) = 19.4 ÷ 94.4 = **0.2055 → 20.6%**

•**Net Profit Margin %** = Profit for the Year ÷ Sales

= 14.0 ÷ 94.4 = **0.1483 → 14.8%**

Apple (US GAAP, USD billions)

•**Gross Margin %** = Gross Margin ÷ Net Sales

= 170.8 ÷ 394.3 = **0.4332 → 43.3%**

•**Operating Margin %** = Operating Income ÷ Net Sales

= 119.5 ÷ 394.3 = **0.3031 → 30.3%**

•**Net Profit Margin %** = Net Income ÷ Net Sales

= 100.2 ÷ 394.3 = **0.2541 → 25.4%**

Summary Table

Company	Gross Margin %	Operating Margin %	Net Profit Margin %
Nestlé (IFRS)	52.9%	20.6%	14.8%
Apple (GAAP)	43.3%	30.3%	25.4%

Class activity - Tasks

Part B – Analysis & Comparison

Discussion Questions:

1. Which company has the higher gross margin, and what does this indicate?
2. How do differences in R&D treatment (capitalization under IFRS vs. expensing under GAAP) affect operating income comparability?
3. Which company demonstrates stronger net profitability, and how might taxation rules contribute to this difference?
4. As an international analyst, what adjustments would you make to compare the two firms fairly?

Part B – Analysis & Comparison answers

Q1. Which company has the higher gross margin, and what does this indicate?

•**Nestlé**: 52.9% vs. Apple 43.3%.

•*Interpretation:* Nestlé's product mix and pricing power in food & beverage support a higher gross margin. Apple's cost of sales includes hardware and supply chain costs, which are material despite premium pricing.

Q2. How do R&D differences (IFRS capitalization vs. GAAP expensing) affect operating income comparability?

•**IFRS** allows capitalization of eligible development costs, **boosting operating income** (lower current-period expense); **US GAAP** expensing **reduces operating income** in the current period.

•*Implication:* An IFRS preparer may appear more profitable at the operating line than a GAAP preparer with the same economics. Analysts should **adjust** for capitalized development (amortize capitalized R&D) to improve comparability.

Part B – Analysis & Comparison answers

Q3. Which company shows stronger net profitability, and how might taxes contribute?

•**Apple's** net margin (25.4%) exceeds Nestlé's (14.8%).

•*Drivers:* Scale, services mix with high margins and tax planning (effective tax rate differences, jurisdictional mix of earnings). Nestlé's global footprint and industry dynamics often carry **higher tax and distribution costs**.

Q4. What adjustments improve cross-border comparability?

•**R&D normalization:** Expense IFRS-capitalized development (or capitalize a GAAP peer's eligible development) and amortize consistently.

•**Operating definition alignment:** Ensure "operating profit" includes/excludes the same items (e.g., restructuring, impairments) across firms.

•**Tax rate normalization:** Recompute net income at a **common effective tax rate** for sensitivity.

•**Currency/inflation:** Convert to a common currency and consider inflation effects for multi-year trends.

•**Presentation by nature vs. function:** Reclassify line items to a common presentation

Part C – Reflection

Write a short paragraph (150 words): "How does the principles-based nature of IFRS vs. the rules-based nature of GAAP impact your ability to compare global firms?"

Part C – Reflection (sample 150-word response)

The principles-based nature of IFRS gives management greater choice in showing the substance of transactions, such as capitalizing development costs when future benefits are probable. US GAAP's rules-based approach typically drives more uniform treatment (for example, expensing all R&D), which enhances within-country consistency but can diverge from economic substance in specific cases. For a cross-border analyst, these design choices complicate comparability at both the operating and net income levels. The solution is not to favor one framework but to build a disciplined adjustment process: reconcile operating profit definitions, align R&D policies, strip non-recurring items, and normalize tax effects. Only then can we compare margins and growth on an apples-to-apples basis. Ultimately, professional judgment remains essential under both systems; the goal is to approximate the firm's **economic reality** so that investment, credit, and strategic decisions are based on comparable, decision-useful information.

Why This Session Matter for MBA Careers?

This session as part of your **International Financial Statement Analysis (ACCT 510)** course as a whole—plays a **foundational role in developing MBA graduates into effective senior managers, executives, consultants, and decision-makers** in today's complex and global business environment.

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1. Strategic Value for MBA Careers
2. Skills Developed: From Numbers to Judgment
3. Knowledge for High-Quality Decision Making
4. Competencies Required at Senior Management Level
5. Long-Term Career Impact

1. Strategic Value for MBA Careers

In modern organizations, **strategic decisions are based on financial information**. Senior managers are not required to prepare accounting reports, but they are **accountable for decisions based on those reports**. This course equips MBA students with the ability to **understand, challenge, and translate financial statements into strategic insights**, rather than relying blindly on reported figures or technical specialists such as Accountants.

Today's session, focusing on **income statement analysis**, develops the student's ability to:

- Understand **how profitability is generated**, not just reported
- Distinguish between **sustainable performance and temporary accounting results**
- Evaluate business performance across **different countries and reporting frameworks**

These capabilities are essential for leadership roles in multinational firms, financial institutions, consulting, entrepreneurship, and public-sector organizations.

2. Skills Developed: From Numbers to Judgment

The course deliberately moves students beyond mechanical calculations to **analytical judgment**, which is a core competency at senior management level.

Through this session and subsequent ones, students develop:

- **Analytical skills**: interpreting revenues, expenses, margins, and trends to assess operational efficiency and performance quality
- **Critical thinking skills**: questioning whether reported profits reflect the firm's **economic reality**, not just accounting compliance
- **Comparative analysis skills**: evaluating companies across borders, industries, and accounting regimes (IFRS vs US GAAP)
- **Integrated thinking skills**: linking income statements with balance sheets, cash flows, and strategic context

These skills are directly aligned with how senior executives assess investments, acquisitions, restructuring decisions, and long-term strategy.

3. Knowledge for High-Quality Decision Making

At senior levels, **poor financial interpretation leads to poor strategic decisions**. This course builds essential knowledge that underpins sound decision-making, including:

- How profitability is measured?
- Why accounting numbers may differ from **economic performance?**
- How international reporting differences affect comparability?
- How earnings quality influences valuation, risk assessment, and stakeholder trust

By mastering these concepts, MBA students become capable of **asking the right questions**, identifying risks early, and avoiding decisions based on misleading or low-quality financial information.

4. Competencies Required at Senior Management Level

The competencies developed in this course align directly with senior management responsibilities, including:

- **Financial literacy for non-financial executives**
- **Governance and ethical oversight**, including awareness of earnings management risks
- **Strategic evaluation of performance**, not limited to short-term profits
- **Evidence-based decision-making**, grounded in reliable financial analysis

These competencies are increasingly demanded by boards, regulators, investors, and stakeholders who expect leaders to demonstrate **financial insight, transparency, and accountability**.

5. Long-Term Career Impact

Ultimately, this course supports MBA students in becoming leaders who:

- Make **better investment, financing, and strategic decisions**
- Communicate effectively with finance teams, auditors, and external stakeholders
- Navigate international business environments with confidence
- Uphold ethical and sustainable decision-making practices

The value of this session and the course lies not only in technical knowledge, but in shaping **financially intelligent leaders** who can transform financial information into **high-quality managerial and strategic decisions**.

Homework - Toyota (IFRS) vs. Ford (US GAAP)

Background: Toyota (Japan) prepares statements under IFRS, while Ford (USA) uses US GAAP. Both compete globally in the automotive industry.

Data Extracts (2022):

•**Toyota (JPY trillions)**: Revenue 37.2, Operating Income 2.7, Profit for the Year 2.4

•**Ford (USD billions)**: Revenue 158.1, Operating Income 9.2, Net Income 7.0

Tasks:

1.Compute **Operating Margin %** for both companies.

2.Examine how **IFRS impairment testing** (one-step) vs. **GAAP impairment** (two-step) could impact profitability.

3.Discuss how **lease accounting differences** (IFRS 16 vs. ASC 842) may change operating income.

Discussion: *Which company looks more efficient operationally, and how might accounting differences explain part of this?*

Homework– Unilever (IFRS) vs. Procter & Gamble (US GAAP)

Background: Unilever applies IFRS and presents expenses by **nature** (marketing, distribution, admin), while P&G uses US GAAP and presents expenses by **function** (COGS, SG&A).

Data Extracts (2022):

•**Unilever (EUR billions)**: Revenue 60.1, Operating Profit 9.7, Net Profit 7.6

•**Procter & Gamble (USD billions)**: Net Sales 80.2, Operating Income 17.8, Net Income 14.7

Tasks:

1.Compute **Operating Margin %** and **Net Profit Margin %** for both firms.

2.How do presentation differences (by nature vs. by function) affect comparability?

3.Recast both income statements into a **common format** and compare margins again.

Discussion: *Which format (by nature vs. by function) do you find more informative as an analyst? Why?*

Questions & Answers & Class Reflections

What did you learn in the class today?